HAWAI‘I APPLESEED

CENTER FOR LAW & ECONOMIC JUSTICE

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KEEPING HAWAI‘I'S FAMILIES OUT OF POVERTY

How federal and state tax credits lift tens of thousands of local residents above the poverty line — and what expanding them would do.

A POLICY BRIEF

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51,306

local residents kept out of poverty every year by the federal EITC, federal CTC, and Hawai‘i state EITC combined (TY2024).

Source: U.S. Census Bureau 5-Year ACS PUMS 2018-2022; Census-Forecaster tax simulation model, Hawai‘i Appleseed 2025

EXECUTIVE SUMMARY

AT A GLANCE

51,306 people

kept out of poverty every year by federal EITC, federal CTC, and Hawaiʻi state EITC combined.

$258M

in poverty gap closed annually by these three tax credits.

+7,399

additional residents would be lifted out of poverty if Hawaiʻi enacted a $650-per-child state Child Tax Credit.

Hawaiʻi has the highest cost of living in the nation. Rent, food, and child care consume a disproportionate share of working families' budgets, pushing many local residents into poverty even when they hold full-time jobs. Refundable tax credits — dollars paid directly to low- and moderate-income filers — are among the most effective anti-poverty tools we have, and they pay for themselves several times over in stronger family budgets, healthier kids, and reduced reliance on safety-net programs.

This brief uses the Supplemental Poverty Measure (SPM), the Census Bureau's more comprehensive measure of poverty, applied to the American Community Survey 5-Year Public Use Microdata Sample for Hawaiʻi (2018–2022). It estimates how many local residents are kept above the poverty line each year by the federal Earned Income Tax Credit (EITC), the federal Child Tax Credit (CTC), and Hawaiʻi's state EITC — and what would happen if Hawaiʻi expanded its own credits.

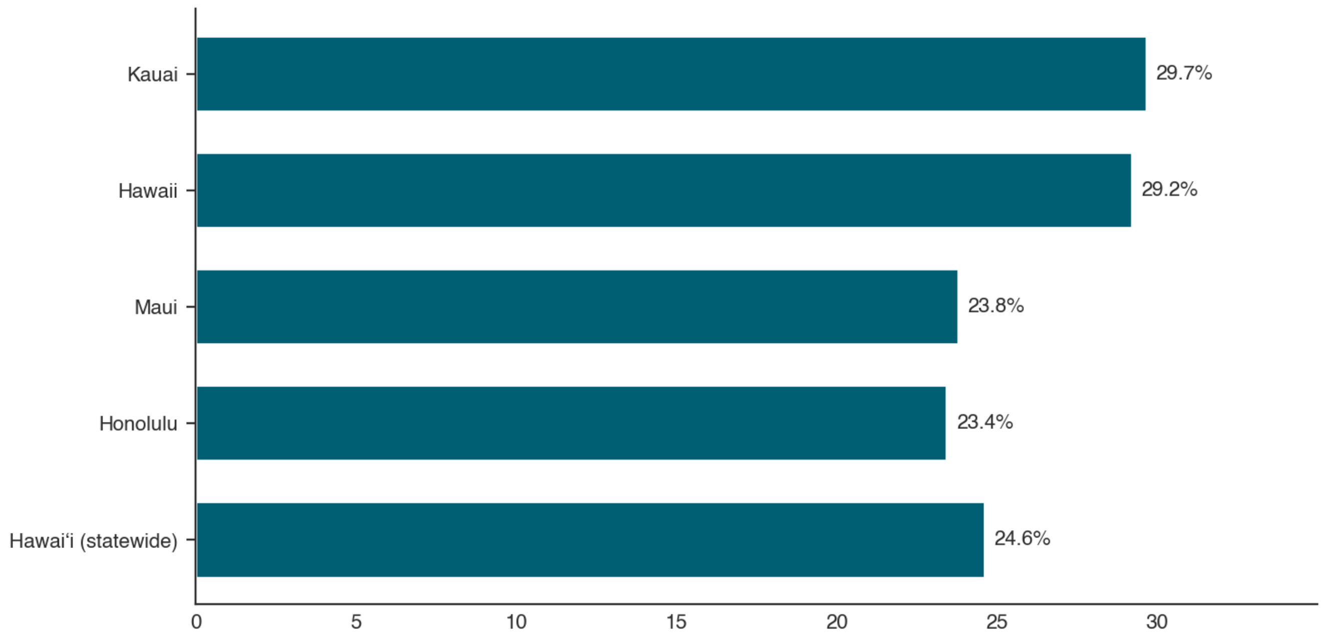
In TY2024, an estimated 343,434 Hawaiʻi residents (24.6%) lived below the SPM poverty line. Without the three refundable credits modeled here, that figure would be roughly 394,740 — meaning tax credits are doing the work of an entire safety-net program on their own.

Source: U.S. Census Bureau 5-Year ACS PUMS 2018-2022; Census-Forecaster tax simulation model, Hawaiʻi Appleseed 2025

BASELINE

HOW MANY HAWAIʻI RESIDENTS ARE IN POVERTY?

Figure 1. Supplemental Poverty Measure rates by county, Hawaiʻi (TY2024)



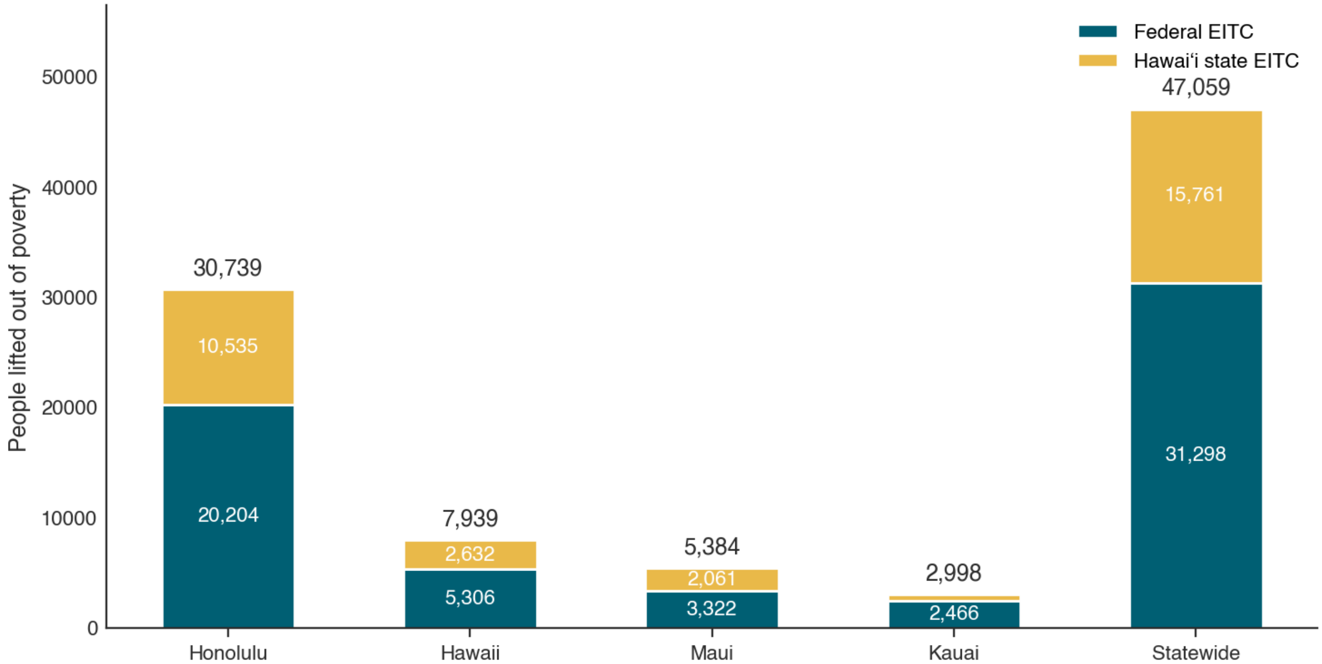
Under the Supplemental Poverty Measure, an estimated 343,434 Hawaiʻi residents — 24.6% of the state population — lived in poverty in TY2024. The SPM differs from the official poverty measure by accounting for taxes, refundable tax credits, non-cash benefits, medical out-of-pocket costs, and Hawaiʻi's above-average cost of living.

Neighbor-island counties show higher SPM rates than Oʻahu, reflecting lower wages combined with rents and food prices that remain near urban-Honolulu levels. These geographic differences are why a flat federal threshold understates poverty in Hawaiʻi.

EITC (FEDERAL + STATE)

HAWAIʻI'S LARGEST ANTI-POVERTY CREDIT

Figure 2. People lifted out of poverty by EITC (federal + state), by county (TY2024)



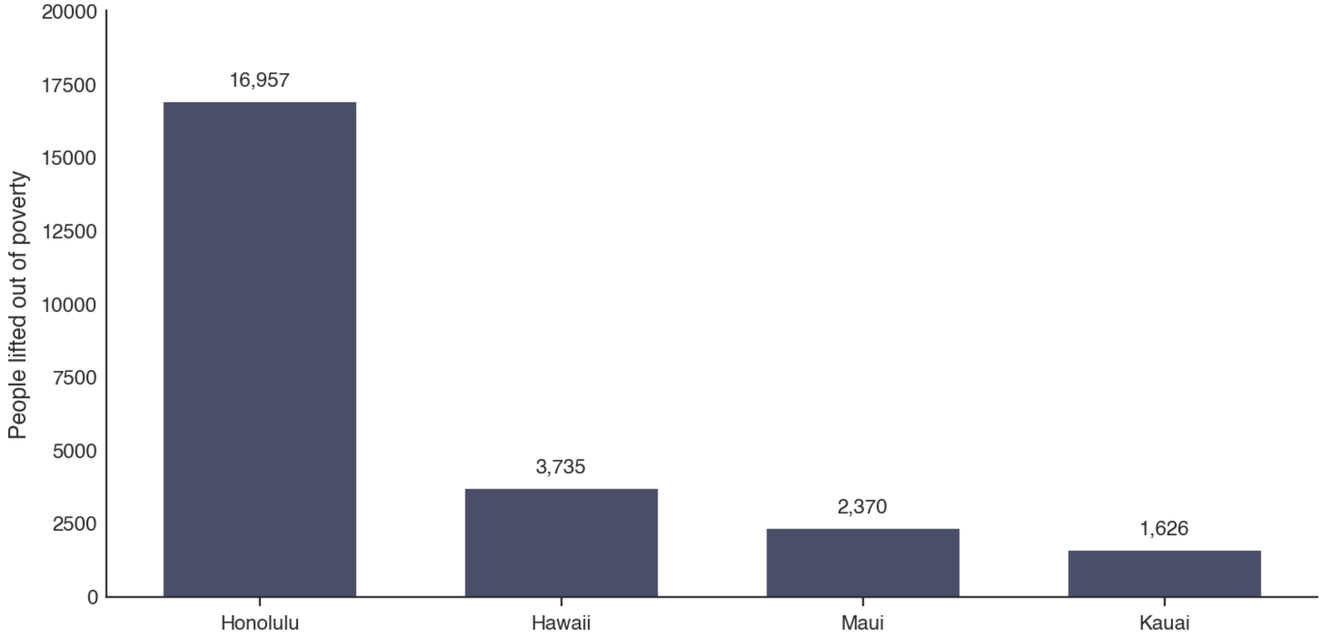
The Earned Income Tax Credit is Hawaiʻi's single most powerful anti-poverty tool. The federal EITC lifts 31,298 residents above the SPM poverty line each year; Hawaiʻi's state EITC — made fully refundable and raised to 40% of the federal credit by Act 209 (2023) — lifts an additional 15,761 residents. Combined, the two EITCs keep roughly 47,059 local residents out of poverty annually (sum is approximate; the credits interact).

Both credits are fully refundable, targeted at low- and moderate-income workers, and scale with earnings up to a plateau — rewarding work while still reaching the lowest-income families. Because EITC dollars arrive as a tax refund, they typically flow back into the local economy through rent, groceries, and child care.

Hawaiʻi's 40% state match is now among the most generous in the country. Raising it further — or simplifying eligibility for the lowest-income filers — would deliver meaningful additional poverty reduction at modest fiscal cost (see expansion scenarios below).

THE FEDERAL CHILD TAX CREDIT

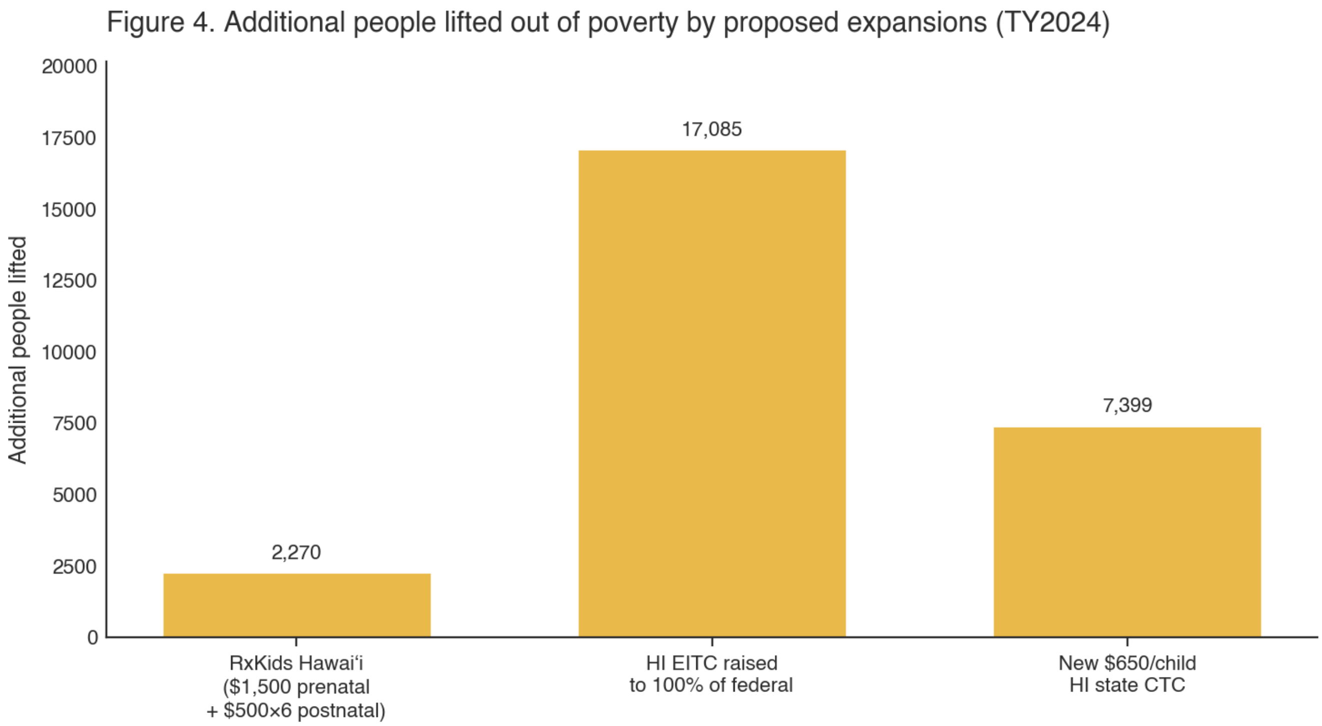
Figure 3. People lifted out of poverty by federal Child Tax Credit, by county (TY2024)



The federal Child Tax Credit lifts an additional 24,689 Hawaiʻi residents above the SPM poverty line. After the American Rescue Plan's 2021 expansion expired, the credit reverted to a partially refundable structure that leaves many of the lowest-income families with less than the full benefit.

Even in its current form, the CTC remains one of the most powerful tools available for reducing child poverty in Hawaiʻi — and is among the credits whose expansion would have the largest incremental impact on families with young children.

A CASH PRESCRIPTION FOR HAWAIʻI'S YOUNGEST



RxKids is a prenatal-and-infant cash-transfer program first launched in Flint, Michigan and now operating in 35+ Michigan communities. A Hawaiʻi-equivalent program — modeled here as an unconditional benefit available to all expecting mothers regardless of income — would provide a one-time $1,500 payment during pregnancy and six monthly payments of $500 beginning at birth ($3,000 postnatal total per child).

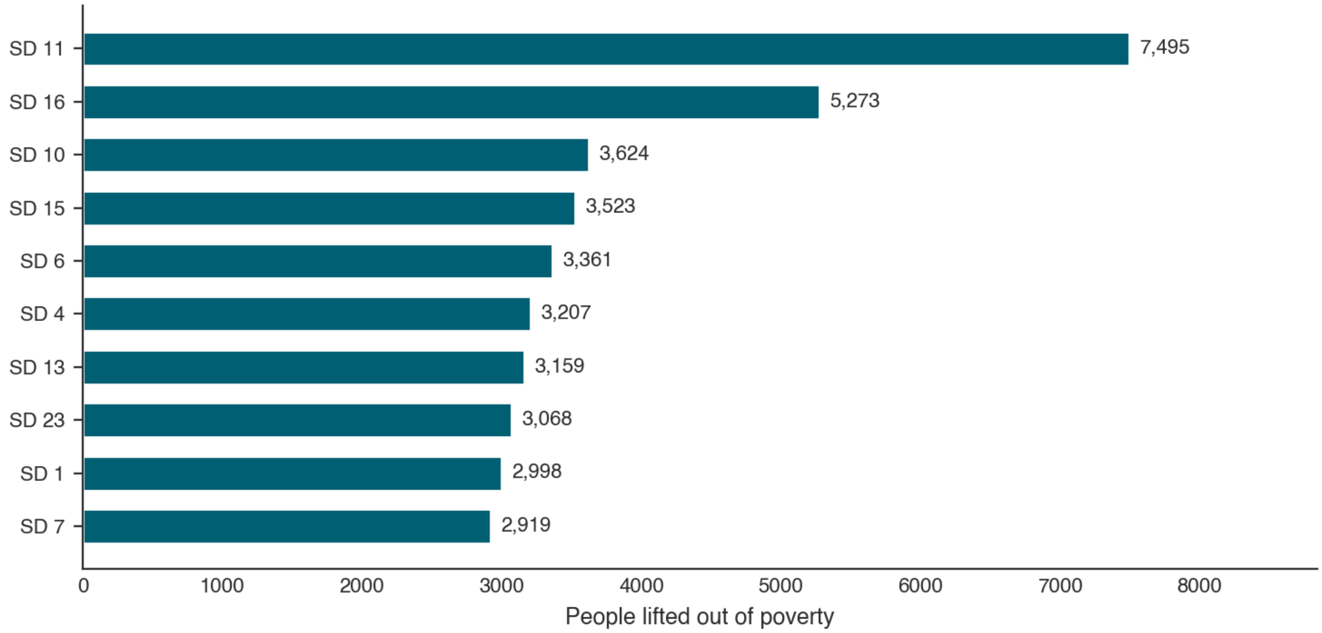
Under this design, an estimated 2,270 Hawaiʻi residents would be lifted above the SPM poverty line, closing $28M in poverty gap. The program would cost roughly $60M per year statewide — reaching all ~15,500 annual births with a combined $4,500 per pregnancy benefit.

The SPM poverty-line crossing count is a conservative floor on the program's value. Research on the Flint program documents significant downstream effects on birth weight, maternal mental health, and infant developmental outcomes that are not captured in the poverty-rate metric. For comparison, Figure 4 also shows the projected lift from the two other proposed Hawaiʻi credit expansions modeled in this brief.

COMBINED IMPACT

BY STATE SENATE DISTRICT

Figure 5. People kept out of poverty by all three credits, top 10 senate districts (TY2024)



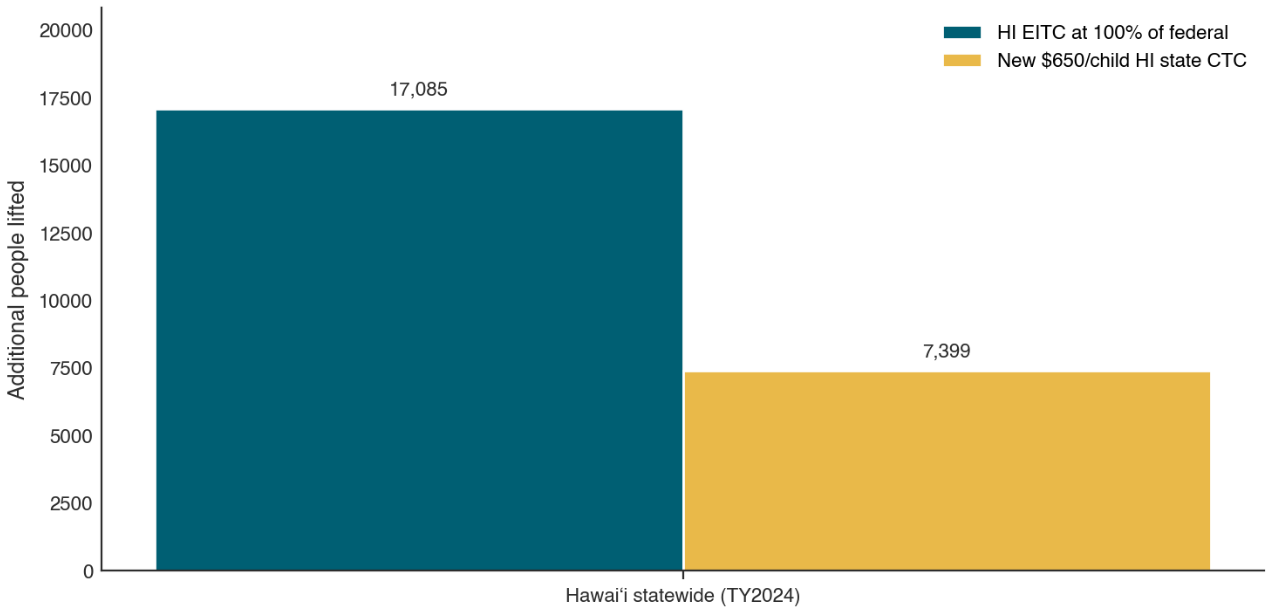
Looking across the state’s 25 Senate districts, the top ten districts — generally those covering working-class neighborhoods on Oʻahu and the neighbor islands — account for more than half of all residents lifted out of poverty by the three credits combined.

These district-level estimates are useful for legislators evaluating who in their communities benefits today — and how many more would benefit if Hawaiʻi expanded its credits.

LOOKING AHEAD

WHAT MORE COULD BE DONE?

Figure 6. Additional people who would be lifted out of poverty under proposed policy changes (TY2024)



Policy scenario	Est. people lifted	Gap closed	Annual cost*
Raise HI state EITC to 100% of federal	17,085	$51M	~$30M
Enact new $650/child HI state CTC	7,399	$35M	~$83M
Both combined (non-additive)	~24,484	$86M	~$113M

** Annual cost figures are legislative estimates from prior fiscal notes, not produced by this model. Persons-lifted and gap-closed figures are model output and may differ from other estimates because they reflect the SPM definition of poverty and IRS-calibrated take-up.*

Either expansion would meaningfully reduce poverty in Hawaiʻi; together they would lift several thousand additional residents above the SPM threshold and close hundreds of millions of dollars in remaining poverty gap. Because both credits are refundable, they reach the families with the lowest incomes — those most likely to spend every dollar locally on rent, food, and child care.

METHODOLOGY

HOW WE DID THIS

These estimates are produced by the Census-Forecaster tax simulation model maintained by Hawaiʻi Appleseed. The model uses the U.S. Census Bureau's 5-Year American Community Survey Public Use Microdata Sample (ACS PUMS) for Hawaiʻi, 2018–2022, projected forward to the tax year of interest using a recency-weighted, cadence-aware damped-trend ensemble.

Poverty is measured using the Supplemental Poverty Measure (SPM), the Census Bureau's comprehensive poverty measure. Unlike the official poverty measure, the SPM accounts for federal and state tax payments, refundable tax credits, non-cash benefits such as SNAP and housing subsidies, medical out-of-pocket costs, and Hawaiʻi's above-average cost of living through a geographic adjustment to the poverty threshold.

Counterfactual scenarios are static: each scenario re-runs the SPM calculation with the relevant credit removed (or expanded), holding labor supply and program take-up fixed. Take-up of each credit is calibrated to IRS SOI Hawaiʻi totals so that modeled receipt matches administrative records, not statutory eligibility.

District-level estimates (Senate and House) reflect within-PUMA imputation and carry larger uncertainty than statewide and county figures — typically ±20 percent at the district level. Statewide totals are within roughly 5 percent of administrative benchmarks where available.

The methodology, parameters, and full results tables are documented in this project's public methodology files (METHODOLOGY.md, REVIEW_FINDINGS.md). The model and its source code are maintained as a Python package; a v2 release was published in 2025.

ABOUT

ABOUT HAWAIʻI APPLESEED

Hawaiʻi Appleseed Center for Law & Economic Justice is committed to a more socially and economically just Hawaiʻi, where everyone has genuine opportunities to achieve economic security and fulfill their potential. We change systems to address inequity and foster greater opportunity by conducting data analysis and research to address income inequality, educating policymakers and the public, engaging in collaborative problem solving and coalition building, and advocating for policy and systems change.

The work of Hawaiʻi Appleseed is about people. The issues we work on — housing, food, wages, mobility, the state budget and taxation, and racial and indigenous equity — are important because they ensure people have access to shelter, sustenance, and the means to survive and thrive individually and collectively.

AUTHOR

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Source: U.S. Census Bureau 5-Year ACS PUMS 2018-2022; Census-Forecaster tax simulation model, Hawaiʻi Appleseed 2025